REAL ESTATE INVESTMENT CHARACTERISTICS

Learning Outcome

- explain the investment characteristics of real estate investments

Investments in real estate provide competitive long-term total returns from income generation combined with potential price appreciation. Many commercial real estate companies offer multiple-year leases with fixed rents; hence, the income earned from these leases is typically both predictable and stable. Moreover, real estate tends to provide inflation protection because the lease payments are regularly adjusted, which allows for a clear valuation and pricing of the property. Finally, real estate historically has low correlations with other asset classes, and adding real estate to an investment portfolio provides diversification benefits at relatively lower levels of risk. There are a variety of indexes globally designed to measure total and component real estate returns for listed securities and non-listed investment vehicles.

Source of Returns

The return on real estate investments comes from income or asset appreciation or a combination of both. Income-producing real estate generates income primarily from the collection of rental or lease payments, including lease renewals. Expenses include direct and indirect management expenses, such as maintenance and improvement costs. Income-producing real estate investment is mostly low-risk direct investment that depends on the timely receipt of lease payments. Investors relying on capital appreciation typically expect that their longer-term property development projects are successful and the exit price will exceed the aggregate investments and any cash flow that they can generate in the meantime.

The risk and return spectrum for real estate investments, depicted in Exhibit 4, includes strategies across both debt and equity investment. Investing in real estate can generate either lower-risk, bond-like cash flows from leases or higher-risk, equity-like speculative returns from realizing value from development projects or price appreciation. Moreover, most real estate strategies are financed by a combination of debt and equity, with the proportion depending on the type of real estate.

Exhibit 4:

Real Estate Risk–Return Spectrum

The low-risk/low-return part of the spectrum, starting in the lower left section of the exhibit, is made up by relatively low-risk, senior debt, such as first mortgages and investment-grade commercial mortgage-backed securities (CMBS). Since the underlying assets are bonds, both the risks and returns are bond-like.

The second part of the of spectrum is made up of the core, stable income-producing REITs, investing in properties that generate stable cash flows either from properties with long-term leases and with many lessors (typically residential real estate) or from sale-leaseback transactions. Because in a sale-leaseback transaction the owner of the property sells the property to an investor and leases the property for continued use, the risk of default is low, providing investors a stable and relatively safe return. Additionally, real estate investors often use sale leaseback structures to secure financing in a cost-efficient way or to reduce their leverage. Overall, the returns are relatively higher compared to low-risk senior debt and are generally bond-like because the main source of return comes from long-term lease payments.

The third and fourth parts of the spectrum offer higher, riskier, and less predictable potential returns; the main source of return moves away from the predictable, bond-like, contractual cash flows and is replaced by more speculative sources from potential price appreciation. The main source of return for core-plus holdings comes from leases, but the cost of acquiring these leases and maintaining and updating the underlying properties may become significant, particularly when the property needs refurbishment, renovation, and redevelopment. For value-add real estate, the returns are increasingly equity-like, with the price appreciation component becoming progressively meaningful.

The final, fifth phase of the spectrum provides the greatest return potential at the expense of the highest levels of risk from opportunistic real estate. For instance, investments in distressed properties and in property development are subject to greater risks than investments in properties in sound financial condition or with stable operations, such as core real estate. The increasing equity-like return reflects that property development is subject to special risks, including regulatory issues, construction delays, and cost overruns. Environmental regulation is one regulatory hurdle, as is the failure to receive zoning, occupancy, and other approvals and permits. Because the lifecycle of such projects can be very lengthy, economic conditions may change. All these issues may increase construction time or delay successful leases, which increases construction costs and reduces the level of rents relative to initial expectations. This could result in a reduction of IRR versus expectation—leaving the investor uncompensated for the higher risk and illiquidity of real estate investment.

In sum, real estate investments offer a wide range of investment opportunities along the risk/return spectrum. Also, the amount of leverage deployed in each strategy shifts the risk/return trade-off by magnifying both the gains and the losses. Particularly for the more speculative real estate investors, this can increase their default risk, especially when there are unexpected changes in the level of interest rates, access to financing, or government land-use regulations. Therefore, the performance of real estate investments can vary substantially depending on the measurement period being considered.

EXAMPLE 2

Peterburgh Real Estate Fund, LLC—Change to LTV

The Peterburgh Real Estate Fund, LLC, has acquired a portfolio consisting of six commercial properties for a total of GBP100 million and secured GBP75 million in mortgages from BridgeRock Credit Opportunities LLP, a private debt fund that syndicated them. The terms of the mortgage are MRR + 150 bps, with a maturity of 15 years, GBP5 million in annual amortization, and all mortgages being secured by the first lien on the property. The loan agreements stipulated that the loan to value (LTV) should remain at 0.75. But after one year, the economic environment worsened substantively and the assessed value of some of the commercial properties owned

amortization by GBP5 million to GBP70 million and the value of the property is GBP92 million, which gives an LTV of 0.76. BridgeRock and the other members of the syndicate would now require that Peterburgh fix the breach by adding GBP1.3 million in collateral to bring the LTV down to 0.75.

Returns to both debt and equity investors in real estate depend to a large extent on the ability of the owners or their agents to successfully operate the underlying properties. Property values vary with global, national, and local conditions. Real estate tends to provide inflation protection if leases provide regular contractual rent step-ups or can be frequently marked to market. Research suggests that inflation-hedging ability varies significantly by geographic location, market segment, and time period. In particular, the inflation-hedging potential of real estate may be more difficult to detect if the high-inflation period of the late 1970s and early 1980s is excluded from the period of study. In addition to these macro and micro conditions, the prevailing level of interest rates influence valuation, returns, and risk.

Real Estate Investment Diversification Benefits

Investors in real estate—whether direct or indirect, public or private, debt or equity—seek high, stable, and steady returns. Real estate investments generate bond-like cash flows from their medium- to long-term property leases and offer bond-like returns. The variability of these returns can be reduced by longer-term leases, better credit quality of tenants, and the possibility of rent increases.

Real estate investments offer the opportunity for capital appreciation from the underlying assets that can bolster returns. In fact, more than half of the returns commercial real estate investors earn are derived from income, with the rest coming from long-term price appreciation. Additionally, throughout an economic market cycle, the real estate income is a more consistent source of return than capital appreciation. This reduces the risk from investing for real estate investors and provides a source of diversification: stock market returns mostly derive from long-term capital appreciation. Effectively, investment in real estate is somewhat like a convertible bond but with several advantages: steady cash flows, the possibility of capital appreciation, and low correlation between real estate price appreciation and equity market price appreciation.

Different investors have differing views on how to approach investments in REITs. Some institutional investors consider it a separate alternative asset class, some consider it a sub-sector of the broader real estate market, some consider it a fixed-income/equity hybrid, and others consider it a fixed-income asset with an incremental yield advantage over investment-grade corporate bonds.

Whether listed real estate behaves like stocks or private real estate is a matter of ongoing debate. The market prices listed REITs continuously, whereas private real estate is appraised perhaps once a year. This mismatch in appraisal timing leads to correlation numbers that are artificially low. Additionally, equity investors in public real estate discount future cash flows, while appraisers of private real estate place heavy emphasis on current market conditions and recent trends. The various real estate strategies provide different diversification benefits, as Exhibit 5 shows.

Exhibit 5:

Historical Correlation between Real Estate Investment Strategies and Market Returns, March 2008–June 2021

Preqin, real estate	0.51	0.49	0.46
Preqin, real estate debt	0.40	0.48	0.38

Source: Annualized quarterly returns of Private Capital Quarterly Index rebased to 31 December 2007, provided by Preqin.

Moreover, during certain market conditions, equity REIT correlations with market benchmarks increase, particularly during steep market downturns, such as the 2007–08 financial crisis. As these high correlations remained high during the post-crisis recovery, they lifted the value of most asset classes. Similar patterns in financial asset prices and real estate prices appear to have been observed during the COVID-19 recovery.

All in all, there appears to be a consensus that real estate offers diversification benefits to portfolios. Real estate markets around the world can be highly idiosyncratic and often have low correlations with traditional asset classes. For example, Oxford Economics studied the expected performance of listed European real estate as an asset class, comparing it with equities, fixed income, and commodities.[1] "A substantial allocation to listed real estate," the authors concluded, "does enhance the risk–return characteristics of a multi-asset portfolio." They went on to recommend larger allocations to real estate for European investors.

Question Set

1. True or false: Real estate historically has high correlations with other asset classes.

Hide Solution

Solution:

False. Real estate historically has low correlations with other asset classes, and adding real estate to an investment portfolio provides diversification benefits at relatively lower levels of risk.

2. The sources of long-term return for real estate investments are _____ and _____.

Hide Solution

Solution:

income generation, *potential price appreciation*

3. In what ways are real estate investments similar to bond investments?

Hide Solution

Solution:

Real estate investments can be similar to bond investments in that they are stable, predictable, lower-risk cash flows from leases that are similar to bond coupon payments

4. In what ways are real estate investments similar to equity investments?

Hide Solution

Solution:

Real estate investments can be similar to equity investments in that they are speculative returns that can be realized from price appreciation of the real estate asset

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Discussion

What do you want to discuss... (required)

SK

Among the practice questions there was a following question

Which of these would most likely appeal to an investor who wants long-term, stable returns?

A. Greenfield investments

B. Brownfield investments

C. Secondary-stage investments

-> The correct answer according to CFA is (B) Brownfield Investments -> with explanation: With brownfield investments, typically some of the financial and operating history is available. Therefore, brownfield investments may be sought after by both strategic investors specializing in operating the assets and—particularly with privatizations—financial investors focused on long-term, stable return

I believe however that the correct answer is "C" as the question relates to "long-term, stable returns" and not the "size" of a return over time. Brownfield investments still carry risk of failure/default in comparison to secondary-stage investments.

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